

BE
BE N/A

Hold	\$241.15 ▼ 1.42%	12M Price Target \$285.00	52-Week Range \$24.04 – \$351.28	Market Cap \$68.59B
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BE: AI Power Darling Cools After Monster Run

WHAT HAPPENED

- BE is down ~10% over 4 sessions after ripping earlier — this looks like healthy profit-taking after Motley Fool floated the "next Nvidia" comparison (classic top-signal vibe). But the underlying story got BIGGER, not smaller: their AI power partnership is now reportedly a \$25B deal, and the Telegraph piece about a £2B UK data center stalled by grid delays is exactly the pain point Bloom solves.
- Options flow is screaming bullish — traders are loading up on August \$225-240 calls at 2-68x normal open interest. Smart money is buying this dip, not selling it.

WHY IT MATTERS

Here's the thing to internalize: BE isn't really an energy stock anymore, it's an AI infrastructure stock in disguise. Every headline about a data center delayed by grid connection issues (like that £2B UK project) is a de facto ad for Bloom's fuel cells, which can be deployed in ~90 days vs. 3-7 years for grid interconnect. The \$25B partnership expansion (likely Oracle/AEP related) suggests hyperscalers are done waiting for utilities — they're bypassing the grid entirely. The pullback probably means the easy money already got made on the 10x run from \$24 lows; from here you need real revenue conversion to justify the ~30x sales multiple.

POLICY & POLITICAL WATCH

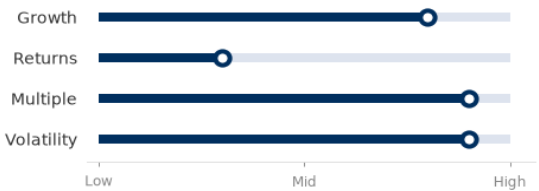
The critical tailwind is the ongoing FERC (Federal Energy Regulatory Commission) grid interconnection backlog — there's over 2,600 GW of projects stuck in queue nationally, and the current administration's push for "AI dominance" via executive orders is making onsite generation (Bloom's bread and butter) the default answer. Watch the Inflation Reduction Act reconciliation talks — the 48 Investment Tax Credit for fuel cells is worth ~30% off customer project costs, and any Republican move to gut IRA clean energy credits could hit Bloom, though fuel cells have historically had bipartisan support since they're "American-made" and dispatchable. Also monitor natural gas policy: Bloom's fuel cells run on gas, so LNG export expansion and pipeline permitting reform (both currently friendly) keep their fuel supply cheap.

IS IT EXPENSIVE?

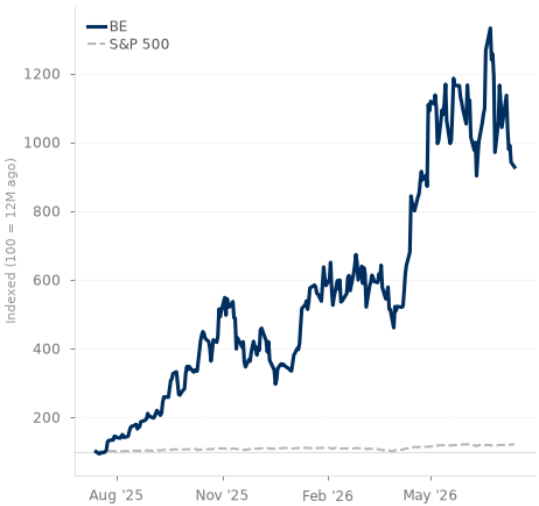
Key Data

Price (USD)	\$241.15
12M Price Target	\$285.00
Upside / (Downside)	+18.2%
Market Cap	\$68.59B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,850M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.85
Fwd P/E	689.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$245.00	\$215.00
6 Months	\$320.00	\$270.00	\$200.00
1 Year	\$380.00	\$285.00	\$180.00
2 Years	\$475.00	\$340.00	\$150.00
5 Years	\$700.00	\$425.00	\$120.00
10 Years	\$1000.00	\$550.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.35% today, +6.11% this week) is the standout — driven by AI power demand narrative and OPEC discipline. Anything touching "power for data centers" (nuclear, fuel cells, natural gas turbines, grid equipment) is getting bid.

COOLING OFF: Nothing sharply down, but Healthcare (+0.25%) and Utilities (+0.22%) are lagging — ironic since utilities are supposedly the AI beneficiary, but investors are figuring out that regulated utilities can't move fast enough to capture this demand.

ROTATION WATCH: Money is flowing from "grid incumbents" to "grid alternatives" — that's the whole BE thesis in one sentence. The market has decided waiting 5+ years for utility power is unacceptable when AI models are being trained today.

RELATED PLAY: If you like BE's theme but want less froth, look at natural gas turbine makers (GE Vernova) or SMR names (OKLO, SMR) — same demand driver, different flavor. Bloom's competitor FuelCell Energy (FCEL) also got a bullish Zacks note today, though it's a much weaker business.

WHO'S WINNING IN THIS SPACE?

- GEV (GE Vernova): riding the same AI power demand wave with gas turbines that hyperscalers are buying in bulk
- VST (Vistra): merchant power producer with nuclear exposure — direct AI data center beneficiary and up huge YTD

BE CONTEXT: BE has been THE leader in this cohort over 12 months (up from \$24 to \$241 = ~10x), so this 10% pullback is a leader taking a breather while laggards catch up. That's usually healthy — it becomes a problem only if BE keeps falling while GEV/VST break out to new highs (would signal rotation OUT of BE specifically).

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$215-230 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AI data center capex slowdown or major partnership loss (Oracle/AEP)

Hedging: Buy puts or pair with a utility short (grid incumbents get disrupted less than feared)